

Hon Hai (2317 TT)

Bigger Volume of LPX, Higher Share in VR200

Maintained Buy
Target price NT\$ 300

Reiterate Buy with unchanged TP of NT\$300: Hon Hai share price underperformed since March, due to weaker-than-expected reported margin and the underperformance of Nvidia shares; hence, we believe the market expectation has been lowered. We expect catalysts to emerge, driven by earlier/stronger than expected LPX rack volume which is 100% by Hon Hai & FII (601138 CH) for compute tray and major share for full rack. Additionally, we expect the company to gain market share in VR200 backed by wins in major accounts. Still, margin outlook is critical, and we expect its vertical integration within Hon Hai group to continue to bear fruit. We fine tune our EPS forecast for 2026E/2027E and maintain TP of NT\$300.

LPX rack to be ramped bigger & Hon Hai & FII sole supplier: During GTC 2026, Nvidia launched the LPX rack which is optimized for ultra-fast token generation. Compared to consensus of limited volume in 2026, we now expect LP30/LP35 chips-out volume to be ~1.5m/~2.5m in 2026E/2027E from Samsung’s SF4; hence, we expect LPX rack to start in 3Q26 with first round of ~6k racks till 1Q27 and another ~10k in the remaining part of 2027 excluding the next-gen TSMC-based LP40. Given Hon Hai & FII’s leading position, we expect the company to be the sole supplier for compute tray with major share in rack level.

Higher market share in VR200 NVL72: Per our estimate, Hon Hai & FII shipped 12k GB racks in 2025, implying market share of 43%. We expect its market share to grow to 55-60% for VR200 NVL72 which is expected to start volume production in late-3Q26 driven by customers of Google (nearly 100% share), AWS and MSFT (>50% share). On the other hand, the rising mix of lower-margin AI server business will be partially supported by enhancing production efficiency considering the higher level of automation for VR200 and vertical integration. As such, our net profit estimate for FII is RMB66bn/RMB90bn in 2026E/2027E.

Multiple revenue streams from Google: As said, Hon Hai & FII has been the key supplier for Google’s CPU server, which is gaining momentum due to agentic AI, while we still expect the company to be a meaningful supplier for TPU servers in 2026, contributing ~RMB4bn earnings on ~15% market share. Aside from computing, backed by Hon Hai & FII manufacturing expertise in networking, we don’t rule out the possibility for the company to enter the supply chain of Google OCS switches for the next generation models.

Risks: 1) AI slowdown; 2) weakness in iPhone/server/PC; and 3) new product delay.

Profit forecast

	2024	2025	2026E	2027E	2028E
Revenue (m)	6,859,615	8,103,105	11,310,139	16,118,143	18,766,986
Revenue YoY (%)	11.3	18.1	39.6	42.5	16.4
Net profit (m)	152,705	189,353	280,718	358,796	395,535
Net profit YoY (%)	7.5	24.0	48.3	27.8	10.2
EPS (NT\$)	11.0	13.6	20.2	25.8	28.5
P/E	20.4	16.5	11.1	8.7	7.9
ROE (%)	9.3	10.7	14.4	16.5	16.6

Source: Company data, GF Securities (Hong Kong) Brokerage.

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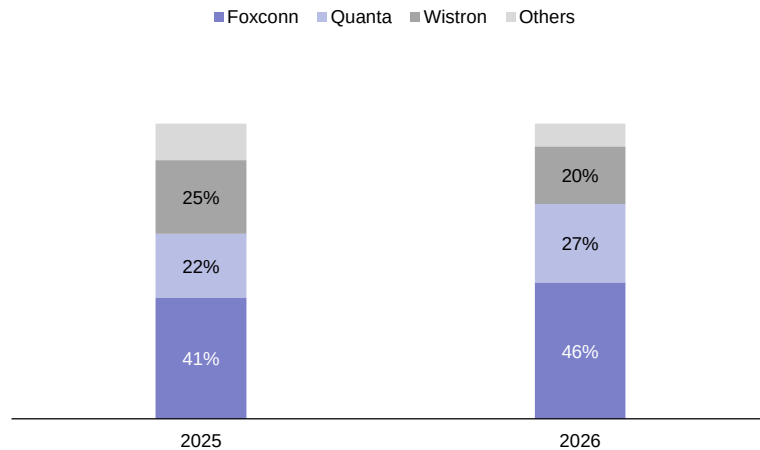
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Earnings Forecast

Figure 1: GB200/VR200 NVL72 market share by ODMs



Sources: Company data, GF Securities (Hong Kong) Brokerage

Earnings revision

By factoring in higher market share of VR200, new product of LPX racks but lower demand assumptions for PCs, we fine tune our EPS estimates by +1%/+1% in 2026E/2027E respectively.

Figure 2: Earnings revision

NTD m	2025	2026E		2027E		Change (%)	
		Old	New	Old	New	2026E	2027E
Net sales	8,103,105	10,844,940	11,310,139	14,104,095	16,118,143	4%	14%
Gross profit	498,161	667,964	678,021	815,332	885,055	2%	9%
EBIT	259,223	370,464	380,221	477,832	491,355	3%	3%
Pre-tax Income	293,444	380,320	384,221	483,688	487,355	1%	1%
Net profit	189,353	277,681	280,718	355,901	358,796	1%	1%
EPS (NT\$)	13.6	20.0	20.2	25.6	25.8	1%	1%
Key ratios (%)	2025	2026E		2027E			
		Old	New	Old	New		
Gross margin	6.1%	6.2%	6.0%	5.8%	5.5%		
Operating margin	3.2%	3.4%	3.4%	3.4%	3.0%		
Pre-tax margin	3.6%	3.5%	3.4%	3.4%	3.0%		
Net profit margin	2.3%	2.6%	2.5%	2.5%	2.2%		

Sources: Company data, GF Securities (Hong Kong) Brokerage

Figure 3: Hon Hai's P&L forecast

(NTD b)	2025	1Q26E	2Q26E	3Q26E	4Q26E	2026E	1Q27E	2Q27E	3Q27E	4Q27E	2027E
Sales	8,103	2,313	2,503	2,861	3,634	11,310	3,703	3,712	4,090	4,613	16,118
COGS	7,605	2,169	2,349	2,687	3,427	10,632	3,497	3,503	3,865	4,368	15,233
Gross profit	498	144	154	174	206	678	206	209	226	244	885
Opex	239	64	66	77	91	298	90	92	100	112	394
Operating profit	259	80	88	97	115	380	116	117	126	132	491
Non-op profit	34	1	1	1	1	4	-1	-1	-1	-1	-4
Pre-tax profit	293	81	89	98	116	384	115	116	125	131	487
Income Taxes	78	17	18	19	22	76	24	23	24	25	96
Minority Interest	26	5	6	8	9	28	6	7	9	11	33
Net Income	189	59	65	72	85	281	85	86	92	96	359
EPS (NTD)	13.6	4.2	4.7	5.1	6.1	20.2	6.1	6.2	6.6	6.9	25.8
Outstanding shares	13,893	13,895	13,895	13,895	13,895	13,895	13,895	13,895	13,895	13,895	13,895
Margin analysis											
Gross margin	6.1%	6.2%	6.2%	6.1%	5.7%	6.0%	5.6%	5.6%	5.5%	5.3%	5.5%
Operating margin	3.2%	3.4%	3.5%	3.4%	3.2%	3.4%	3.1%	3.2%	3.1%	2.9%	3.0%
Pre-tax margin	3.6%	3.5%	3.6%	3.4%	3.2%	3.4%	3.1%	3.1%	3.1%	2.9%	3.0%
Effective tax rate	26.7%	21.0%	20.0%	19.0%	19.0%	19.7%	21.0%	20.0%	19.0%	19.0%	19.7%
Growth (YoY%)											
Sales	18%	41%	40%	39%	39%	40%	60%	48%	43%	27%	43%
Operating profit	29%	71%	55%	38%	35%	47%	46%	33%	29%	15%	29%
Net income	24%	39%	47%	24%	89%	48%	46%	32%	29%	12%	28%
EPS	24%	39%	47%	24%	89%	48%	46%	32%	29%	12%	28%
Product mix (%)											
Consumer	38%	31%	27%	27%	30%	29%	21%	19%	21%	24%	21%
Computing	15%	11%	10%	9%	8%	9%	6%	7%	7%	6%	7%
Cloud & networking	40%	52%	57%	58%	58%	57%	69%	70%	68%	66%	68%
Components & others	7%	6%	6%	6%	5%	5%	4%	4%	4%	4%	4%

Sources: Company data, GF Securities (Hong Kong) Brokerage

Valuation and Recommendation

Maintain Buy with TP of NT\$300

We rate Hon Hai (2317 TT) Buy and set our TP at NT\$300, which is based on a multiple of 15x our 2026E EPS estimate. We adopt P/E methodology as we believe the market will be mainly focused on the company's earnings outlook, and we usually apply P/E method to downstream firms.

Our target multiple of 15x P/E is higher than the historical trading average of 11x. We believe this multiple is justified by the company's enhanced sales growth outlook, driven by the expansion into AI server and EV. Our target multiple is largely inline with the P/E trading range in the past one year of its own AI cycle.

Figure 4: Hon Hai's 12-month forward P/E



Sources: Company data, GF Securities (Hong Kong) Brokerage

Risks

- 1) AI slowdown; 2) weakness in iPhone/server/PC; and 3) new product delay.

Balance Sheet					NTD mn
	2024	2025	2026E	2027E	2028E
Current assets	3,375,765	3,961,827	5,295,111	7,051,418	8,108,483
Cash and cash equivalents	944,342	1,026,685	1,195,810	1,197,783	1,286,531
Inventory	835,016	1,095,574	1,531,671	2,194,491	2,561,467
Accounts Receivable	1,141,418	1,181,307	1,648,843	2,349,775	2,735,936
Other current assets	454,989	658,261	918,787	1,309,368	1,524,549
Non-current assets	1,018,734	1,142,845	2,096,433	2,191,812	2,271,860
Long-term equity investment	197,474	239,653	252,653	265,653	278,653
Fixed assets	524,332	604,619	700,935	783,314	850,362
Other long-term assets	296,929	298,573	1,142,845	1,142,845	1,142,845
Total assets	4,394,500	5,104,672	7,391,544	9,243,230	10,380,343
Current liabilities	2,174,818	2,710,849	3,871,764	5,252,471	6,024,828
Accounts Payable	1,133,052	1,331,933	1,862,114	2,667,929	3,114,076
Short-term borrowings	555,107	835,648	1,251,369	1,503,910	1,652,530
Other current liabilities	486,658	543,268	758,282	1,080,632	1,258,222
Non-current liabilities	368,094	423,060	1,368,343	1,620,885	1,769,504
Long-term Debt	287,793	306,086	1,251,369	1,503,910	1,652,530
Other non-current liabilities	80,301	116,975	116,975	116,975	116,975
Total liabilities	2,542,911	3,133,909	5,240,107	6,873,356	7,794,332
Total Equity	1,851,588	1,970,763	2,151,437	2,369,874	2,586,011
Share Capital	138,917	140,034	140,034	140,034	140,034
Additional Paid-in Capital	155,302	173,364	173,364	173,364	173,364
Retained earnings	1,350,982	1,459,373	1,640,047	1,858,484	2,074,621
Minority interests	206,386	197,992	197,992	197,992	197,992
Total Liabilities & Equity	4,394,500	5,104,672	7,391,544	9,243,230	10,380,343

Income Statement					NTD mn
	2024	2025	2026E	2027E	2028E
Revenue	6,859,615	8,103,105	11,310,139	16,118,143	18,766,986
Cost of sales	6,430,670	7,604,944	10,632,118	15,233,088	17,780,454
Gross profit	428,946	498,161	678,021	885,055	986,532
Operating Expense	228,339	238,938	297,800	393,700	452,000
Operating profit	200,607	259,223	380,221	491,355	534,532
Interest Income	45,577	31,010	28,000	26,000	26,000
Interest Expense	36,795	38,096	44,000	50,000	52,000
Net other Non-op. Income/(Loss)	2,487	41,308	20,000	20,000	20,000
Pre-tax profit	211,875	293,444	384,221	487,355	528,532
Income tax	40,196	78,409	75,504	96,059	127,498
Profit for the year	171,679	215,035	308,718	391,296	401,035
Minority interest	18,974	25,682	28,000	32,500	5,500
Net profit to ord. equity	152,705	189,353	280,718	358,796	395,535
EPS (NT\$)	11.0	13.6	20.2	25.8	28.5

Cash Flow Statement					NTD mn
	2024	2025	2026E	2027E	2028E
Operating cash flow	166,029	226,852	-35,462	-130,739	224,819
Profit for the year	152,705	189,353	280,718	358,796	395,535
Depreciation & amortization	84,290	94,198	102,785	136,632	173,864
Change in working capital	-133,466	-101,566	-418,964	-626,168	-344,580
Others	62,499	44,868	-	-	-
Investing cash flow	-300,046	-304,689	-1,056,373	-232,012	-253,913
Capex	-173,327	-174,485	-199,101	-219,012	-240,913
Change in investment	-12,531	-42,179	-13,000	-13,000	-13,000
Others	-114,189	-88,025	-844,272	-	-
Free cash flow	-134,017	-77,837	-1,091,835	-362,751	-29,093
Financing cash flow	-164,072	169,947	1,260,960	364,724	117,842
Change in Capital	12,639	-70,178	-100,044	-140,359	-179,398
Net Change in Debt	-16,390	298,834	1,361,004	505,083	297,240
Others	-160,321	-58,709	-	-	-
Exchange influence	37,534	-12,778	-	-	-
Net increase in cash	-260,555	79,332	169,125	1,973	88,748

Key Financial Ratios					
	2024	2025	2026E	2027E	2028E
Growth					
Revenue growth	11.3	18.1	39.6	42.5	16.4
Operating profit growth	20.5	29.2	46.7	29.2	8.8
Net profit growth	7.5	24.0	48.3	27.8	10.2
Profitability					
Gross profit margin	6.3	6.1	6.0	5.5	5.3
Operating Profit Margin	2.9	3.2	3.4	3.0	2.8
Net profit margin	2.2	2.3	2.5	2.2	2.1
Key Ratio					
ROA	3.7	4.0	4.5	4.3	4.0
ROE	9.3	10.7	14.4	16.5	16.6
Stability					
Gross debt/equity	45.5	57.9	116.3	126.9	127.8
Interest Coverage	6.8	8.7	9.7	10.7	11.2
Current Ratio	1.6	1.5	1.4	1.3	1.3
Quick Ratio	1.2	1.1	1.0	0.9	0.9
Net debt/equity	Net cash	Net cash	60.7	76.4	78.1

Rating definitions Benchmark: Hang Seng Index (Hong Kong)

Company ratings	Buy	Stock expected to outperform benchmark by more than 10%
	Hold	Expected stock relative performance ranges between -10% and 10%
	Underperform	Stock expected to underperform benchmark by more than 10%

Sector ratings	Positive	Sector expected to outperform benchmark by more than 10%
	Neutral	Expected sector relative performance ranges between -10% and 10%
	Cautious	Sector expected to underperform benchmark by more than 10%

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